

Final Report Draft

Labour Market Analysis on Food-processing

Sub-sector:

For Returned Migrant and Laid-Off Workers

Written under the Consultancy for VSO

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List of Abbreviation

CDC	Cambodia Development Council
CQF	Cambodia Qualification Framework
FTA	Free Trade Agreement
ICT	Information and Communication Technology
ILO	International Labour Organization
IR 4.0	The 4 th Industrial Revolution
ISIC	International of Standard Industrial Classification
KII	Key Informant Interview
LMA	Labor Market Analysis
MLVT	Ministry of Labour and Vocational Training
MSME	Micro, Small and Medium Enterprise
NEA	National Employment Agency
NGO	Non-Governmental Organization
NTM	Non-Tariff Measure
RCEP	Regional Comprehensive Economic Partnership
RPL	Recognition of Prior Learning
SL	Skill Level
SME	Small, Medium Enterprise
SPS	Sanitary and Phytosanitary
TVET	Technical and Vocational Education and Training
VSO	Voluntary Service Overseas

Executive Summary

VSO in Cambodia is implementing Rural Employment for COVID-19 Economic Recovery, “RECOVER”, funded by the European Union in Cambodia. This project has been implemented in close collaboration with Technical and Vocation Education and Training (TVET) centres. As part of the project implementation, VSO in Cambodia would like to conduct a Labour Market Assessment (LMA) in the food-processing sub-sector in Kampong Chhnang, Battambang, and Kampong Thom to deliver responsive skill development projects. Main research objective: To improve the employability and entrepreneurship of returned migrant and laid-off workers returning into the study areas by being employed or starting their own business through technical and vocational skills development.

Methods

We used mixed methods, which include both qualitative and quantitative analysis. We conducted desk reviews, key informant interviews (KII) with TVET institute and graduates and workers, and an food-processing micro, small and medium enterprises (MSMEs) interview. To achieve the objectives, we focus on both the demand and supply sides of the labour market.

Key informant interviews (KII) were conducted with relevant stakeholders, including key TVET institutes, TVET graduates and workers, and Micro, Small, and Medium Enterprises (MSMEs) in the study areas. In addition, we also conducted nine in-depth consultations with other stakeholders, including relevant local business associations, NGO specialists, and government officials from the General Department of TVET, the Ministry of Labour and Vocational Training (MLVT), the national employment agency (NEA).

For the purpose of this LMA, we define the food processing subsector as manufacturing activities listed in ISIC code 10 (Manufacture of food products) and ISIC code 11 (Manufacture of beverages). This LMA focuses on the low and unskilled workers, mainly skilled agricultural, forestry and fisher workers, craft and related trades worker, plant and machine operators and assemblers, and other elementary occupations as classified by the International Standard Classification of Occupation (ISCO-8).

Key findings

On average, the unregistered MSMEs had three food-processing employees, while the registered ones had 17. Most food-processing employees in unregistered MSMEs were unskilled female workers accounted for 48.9 percent of the total employees, and low-skilled women represented 23.4 percent on average.

There was no current demand for low- and unskilled workers due to the Covid-19 outbreak and the government's containment measures that affected the MSMEs operations. Fortunately, within the next 1-2 years, when the Covid-19 pandemic subsides, the interviewed MSMEs are more likely to be optimistic about the demand for more workers. The low and unskilled occupations - that those MSMEs would require - would be operators, packagers, quality controllers, mechanics. Operators and packagers would be the most wanted occupations for low and unskilled workers.

The potential occupations for returned migrant and laid-off workers were construction, agricultural, factories, food processing, delivering workers, vendors, metalwork, electrician, and mechanic. Construction worker, by far, is the most cited occupation, while farmer is the second most suggested occupation. Jobs as low- and unskilled workers in food processing factories can also be potential but less potential than occupations in construction, agriculture and other factories.

The potential self-employment or business opportunities for returning migrant and laid-off workers are food processing, agriculture (cultivation and livestock, fish and frog raising), small grocery stores, motorcycle repairers, vendors, and beauticians. Food processing such as banana chips, soy milk, cucumber pickle, and the like is more likely to be viable self-employment and micro-business opportunities than an occupation. This processed food can be sold in the local community or the province. It would require less training and capital; Also, they can easily access the crops as the primary input materials cultivated by their household or others in their communities.

Employers require low-skilled workers to have soft skills include commitment and loyalty, followed by numeracy, literacy, and communication. It should be noted that technical skills are not the most wanted skills for low-skilled workers. Unskilled workers' most required soft skills were loyalty, commitment, regular attendance, and communication. Other necessary soft skills for low-and unskilled workers include following company instructions and standards and having high responsibility.

The MSMEs did not require low and unskilled workers to have technical food processing skills. Still, they need them to have the soft skills mentioned above. **However, the firms may highly demand technical food processing skills for medium and high skilled employees,** which are in shortage in the labour market based on a previous study. Also, food processing skills are essential for those who want to be self-employed or start their micro or small businesses producing food-processing products; they also need digital, entrepreneurship, and business operation skills.

Digital skills were essential for everyone, including the low- and unskilled workers, as our society and economy have become more digitalised. Moreover, at this period of the Covid-19 pandemic, digital skills have become even more critical. The pandemic speeds up the growth of online businesses, marketing and advertisements, communications, deliveries via social media and messaging app, and virtual meetings. The key stakeholders also elevated entrepreneurship and business operation skills as vital for low-and unskilled workers for starting up and running micro and small businesses.

The significant barriers to employment of these workers were the lack of skills, education, knowledge, job, experience, information, and commitment, as well as covid-19, low labour demand (market), old age, salary (too low for workers, too high for employers), among other things. Lack of skills, education, knowledge, and experience are the most cited barriers to employment. The analysis result indicates the crucial hindrance to starting, or running businesses are lack of capital, market information, knowledge, skills, understanding, experience, commitment, local demand, among other things.

Recommendations

- Providing appropriate formal upskilling and reskilling program to upgrade the workers' technical skills from low- and unskilled levels to medium level with formal qualifications or certificates based on the Cambodia Qualification Framework (CQF)
 - ❖ Technical skills: including food-processing skills
 - ❖ Workplace soft skills: commitment, loyalty, numeracy, literacy, communication, responsibility, regular attendance, and obedience to the workplace's rules and standards.
 - ❖ Basic digital skills or digital literacy: especially communication, online sale and marketing, and fintech
 - ❖ Fundamental entrepreneurship and business operation skills
- **Certifying skills for experienced workers:** the "Recognition of Prior Learning (RPL)" should be promoted to full operation so that returned migrant workers with skills can be tested and get certificates.
- **Facilitating access to financial supports and credits:** Assistance should be provided to the workers in accessing the social protection supports offered by the government. Moreover, after the training, credit without interest or with low interest should be provided to those who intend to start a micro-business and have a sound business plan and commitment.
- **Creating a supportive network to share information:** there should be a support network or group, such as groups in messaging apps, to share information about the job and business opportunity, market information, and experiences.

- **Raising the awareness about the return of education and technical and vocational training;** because most workers were more likely to find low-paid jobs that required no skills rather than invest in time, effort, money to develop their skills and qualifications.
- **Supporting intervention for TVET institutes:** The interview with TVET institute shows that TVET institutes in the target provinces face the challenges below in providing training programs related to food processing: limited trainer's capacity, lack of equipment, tools, material, curriculum, lack of financial support for trainers, need to cooperation with the private sector, low trainee's enrolment rate. TVET institutes need supports regarding these challenges
- **Promoting TVET institutes and private sector partnership:** Some suggestions to improve cooperation between private and TVET institutes in developing low-skill of the food-processing sector are quality and skills are the main factor of processing. Collaboration should respond to job opportunities in society, stopping activity and mindsets and cooperating to find the best solution such as partial training between private and institution.
- **Promoting “One Village One Product”:** should be revitalised. We need to follow the province's comparative advantage products. Moreover, each province should have different processing products.
- **There should be a rigorous study to identify the supply chains of food processed products** and retail locations where these products are distributed for sale. From the author's observations, the potential retailing sites these products can be distributed for sale are local traditional markets, minimarts located in gas stations, and roadside stations and street vendors along the national roads. If these products meet the required standard, they can also supply hotels, restaurants, and supermarkets across the countries.
- **Renovating roadside stations, adopting the concept of Japan's “Michi no Eki” or “roadside stations”,** which are rest areas including shopping and community facilities. Since their inception in Japan in the early 1990s, they have evolved to meet the diversifying needs of tourists and residents (nippon.com 2019).
- **Encouraging SMEs to invest:** There should be intervention programs to continue promoting and supporting MSMEs in this sector to recover after the Covid-19 pandemic, connecting to the international market, adopting new technology, getting credit, and improving ease of doing business.
- **Conducting studies to identify potential food-processing products and export markets:** For instance, Cambodia has increased the efforts to seek bilateral and multilateral Free Trade Agreement in the region; thus, Cambodia has signed bilateral FTA with China and Korea, has started negotiating with India, and conducted a feasibility study with Eurasia.
- **Studying the FTA partners' requirements such as Sanitary and Phytosanitary (SPS) and other non-tariff measures (NTMs)** for importing products into their countries, and educating producers and farmers about the identified NTMs.

1 Introduction

On 27 January 2020, the first case of COVID-19 was confirmed on a 60-year-old Chinese man in Sihanoukville, Cambodia; since then, confirmed Covid-19 cases, especially the imported ones, have been identified consistently. Not until 20 February 2021 that Cambodia experience community outbreaks. 20 February community event is called large-scale transmissions of COVID-19 detected in Phnom Penh on 20 February 2021. After that, the number of confirmed cases and death has spiked drastically (Figure 1)

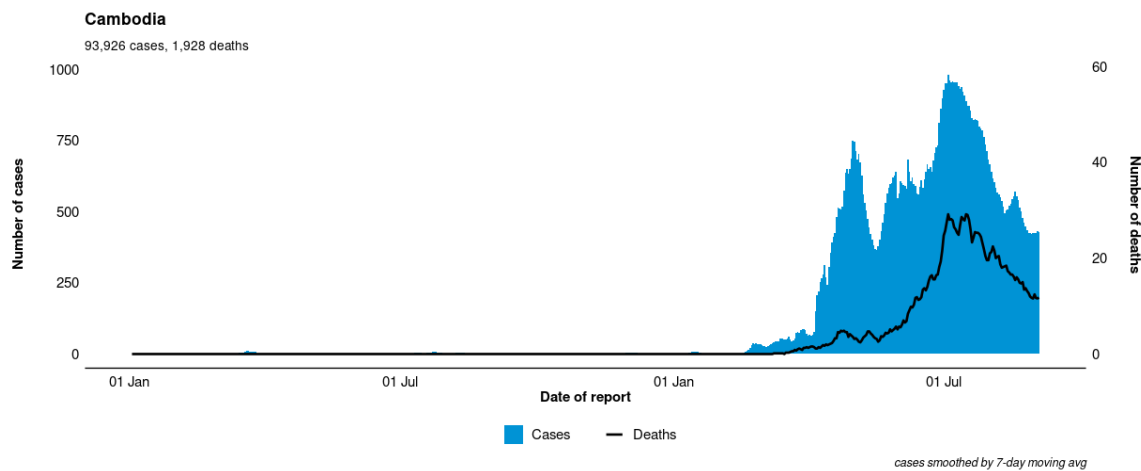


Figure 1: The number of Covid-19 cases in Cambodia during January 2020-July 2021

Source: <https://worldhealthorg.shinyapps.io/covid/>, accessed in September 2021

In response to the spread of the COVID-19 pandemic, Cambodia's government agreed to close the border, shut down schools, restrict the nightly curfew, ban religious activities, forbid mass meetings, and lockdown some provinces with higher cases. However, these measures caused difficulty in mobility, transportation and various businesses operations, which in turn caused many losses.

As a result of Covid-19, employments have been decreased significantly. About 100,000 to 150,000 workers were suspended or laid off due to the closure and operation suspension of 180 domestic factories; moreover, 1.76 million jobs are at risk (The World Bank 2020; Heng 2020). According to a United Nations report, over 200,000 (43 percent women) Cambodian migrant workers have been recorded as returned migrants to Cambodia since the beginning of the COVID-19 pandemic; most of them come back mainly from Thailand, followed by Malaysia and Viet Nam. On 29 June, after 575 construction sites and camps in Bangkok and surrounding provinces closed, migrant workers in Thailand, including many Cambodians,

residing on-site lacked access to food and health care. As a result, they returned to their home countries, including Cambodia (ILO 2021).

1.1 Objective

VSO in Cambodia is implementing Rural Employment for COVID-19 Economic Recovery, “RECOVER”, funded by the European Union in Cambodia. This project has been implemented in close collaboration with Technical and Vocation Education and Training (TVET) centres/institutes. As part of the project implementation, VSO in Cambodia would like to conduct a Labour Market Assessment (LMA) in the food-processing sub-sector in Kampong Chhnang, Battambang, and Kampong Thom to deliver responsive skill development projects.

Main research objective: To improve the employability and entrepreneurship of returned migrant and laid-off workers returning into the study areas by being employed or starting their own business through technical and vocational skills development.

Sub objectives of this study are as follows:

1. To identify existing and potential employment opportunities in the food-processing sector
2. To identify the factors impacting the demand and supply in the labour market for the target groups in target areas
3. To determine the required technical and soft skills and specify nature of employment
4. To understand the barriers to people's labour and income generation
5. To develop a range of strategies options to improve the demand for labour.

2 Food and beverage processing sectors in Cambodia

Food processing has happened in Cambodia for centuries. Cambodia has a wide variety of traditional processed fish products and beverages and other products, for example, smoked fish, fish paste and sauce, palm sugar, soft and alcoholic palm beverages and so on. However, traditional food processing is not likely to meet international standards such as Hazard Analysis and Critical Control Points (HACCP) and Sanitary and Phytosanitary (SPS), which are barriers to Cambodia's exports of locally processed food. For example, Ven and Hing (2017, 132) found that Cambodia's fishery exports had negative elasticity with the number of SPS imposed by trade partners. Domestic food processing MSMEs mainly use local inputs and sell their products locally. The manufacturers in this industry can be categorised into two groups, including (1) the increasing number of large factories that mainly produce for the domestic markets and some extent for export markets, and (2) a vast number of small household and village-level micro and small businesses that supply local customers. The industrial development plan (2015-2025) aims to

promote the export of processed agricultural products to reach 12% of all exports by 2025 (RGC 2015). Thus, to achieve this, the RGC strategy is to promote the development of the food-processing industry through integration into the global value chain, development of industrial zones, economic corridors and industrial clusters.

2.1 Contribution to GDP

The GDP in Cambodia is growing annually from 4.2 in 2002 to 24.9 in 2018. In this economic growth, Food, beverage and Tobacco have gradually increased the contribution in GDP from 0.1 billion USD (2.7 percent of GDP) in 2002 to 0.6 billion USD (2.4 percent of GDP) in 2018 (Table 1).

Table 1. Share of Food, Beverage, and Tobacco in GDP

Key indicator	2002	2006	2010	2014	2018
GDP (in billion USD)	4.2	7.5	11.8	16.9	24.9
Food, Beverage, and Tobacco (in billion USD)	0.1	0.2	0.3	0.4	0.6
Percentage of GDP (%)	2.73	2.22	2.28	2.27	2.40

Source: National Account 2018

Table 2 shows the number of manufacturing activities in Cambodia. The manufacture of food products takes the lead in the number of firms equal to 36.3% in the total number, followed by the manufacture of beverages. In contrast, the manufacture of vegetable and animal oils and fats and dairy products remain the small number of firms.

Table 2. Number of firms by registered manufacturing activities

code3	Manufacturing activities	Number of firms	Percentage of the total number of firms
107	Manufacture of other food products	724	36.3%
110	Manufacture of beverages	665	33.4%
106	Manufacture of grain mill products, starches and starch products	353	17.7%

103	Processing and preserving of fruit and vegetables	312	15.7%
101	Processing and preserving of meat	154	7.7%
108	Manufacture of prepared animal feeds	145	7.3%
102	Processing and preserving of fish, crustaceans and molluscs	121	6.1%
104	Manufacture of vegetable and animal oils and fats	86	4.3%
105	Manufacture of dairy products	53	2.7%

Source: MoC business registration database access in August 2020

Note: one firm can register multiple manufacturing activities, so the sum of the percentage is not equal to 100%.

2.2 Exports

The figure shows the export value of Food and beverage products. Between 2010-2013, the exports of beverages, spirits and vinegar have increased from 12 million USD and reached a peak in 2013 with 29 million dollars. However, this industry decreased its value to 15 million USD in 2019, declining to only 4 million USD in 2020 due to the Covid-19 pandemic. In contrast, food industries, residues and wastes, and prepared animal fodder increased their value annually from 6 million USD in 2010 to 23 million USD in 2015 and slowly decreased to 20 million USD in 2020.

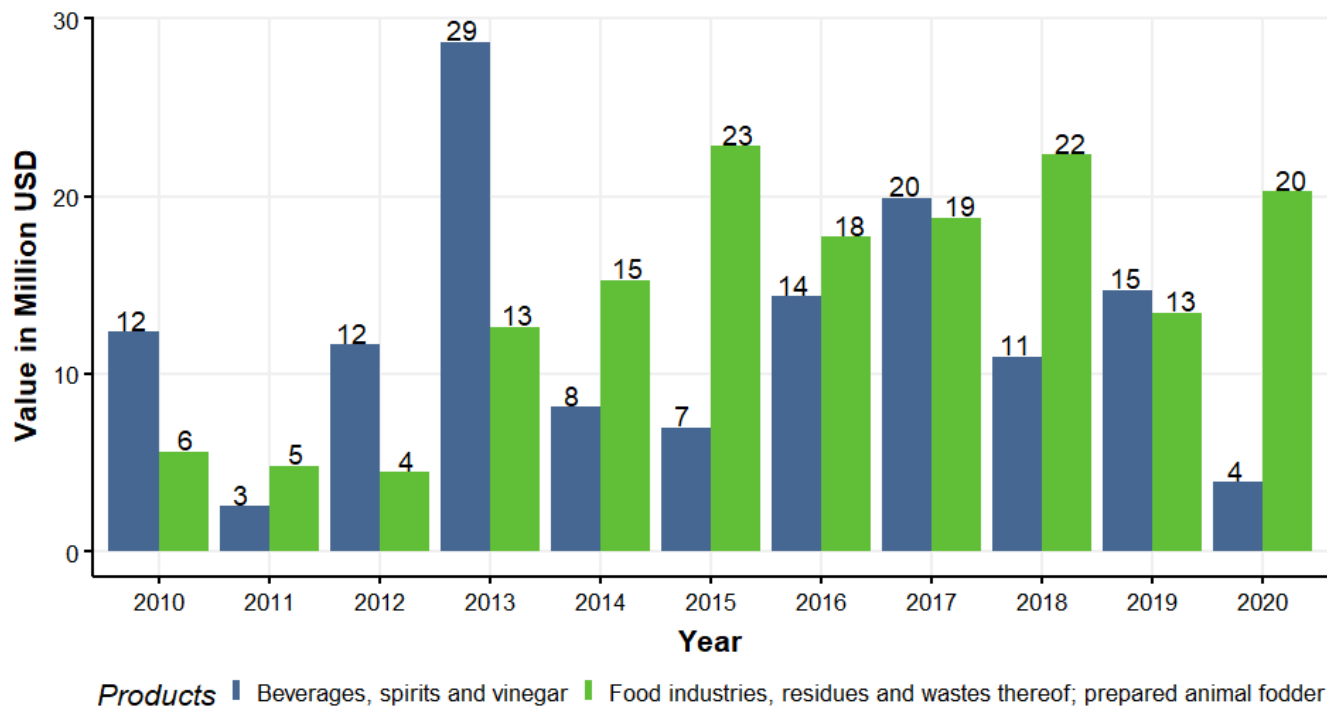


Figure 2: Exports of Food and beverage between 2010-2020

Source: Author's illustration based on data collected from <https://www.aseanstats.org/>

2.3 Imports

Cambodia is also facing a trade deficit in the food processing sector. As this figure shows, the total import of Beverages, spirits and vinegar accounted for 14 million USD in 2010, which is more than the export value and kept rising to 339 million USD in 2019, and 328 million USD in 2020. Similarly, the value of import of food industries, residues and wastes thereof, prepared animal fodder is rising from 55 million USD in 2010, and reach the peak in 2020 with a total value of 250 million USD.

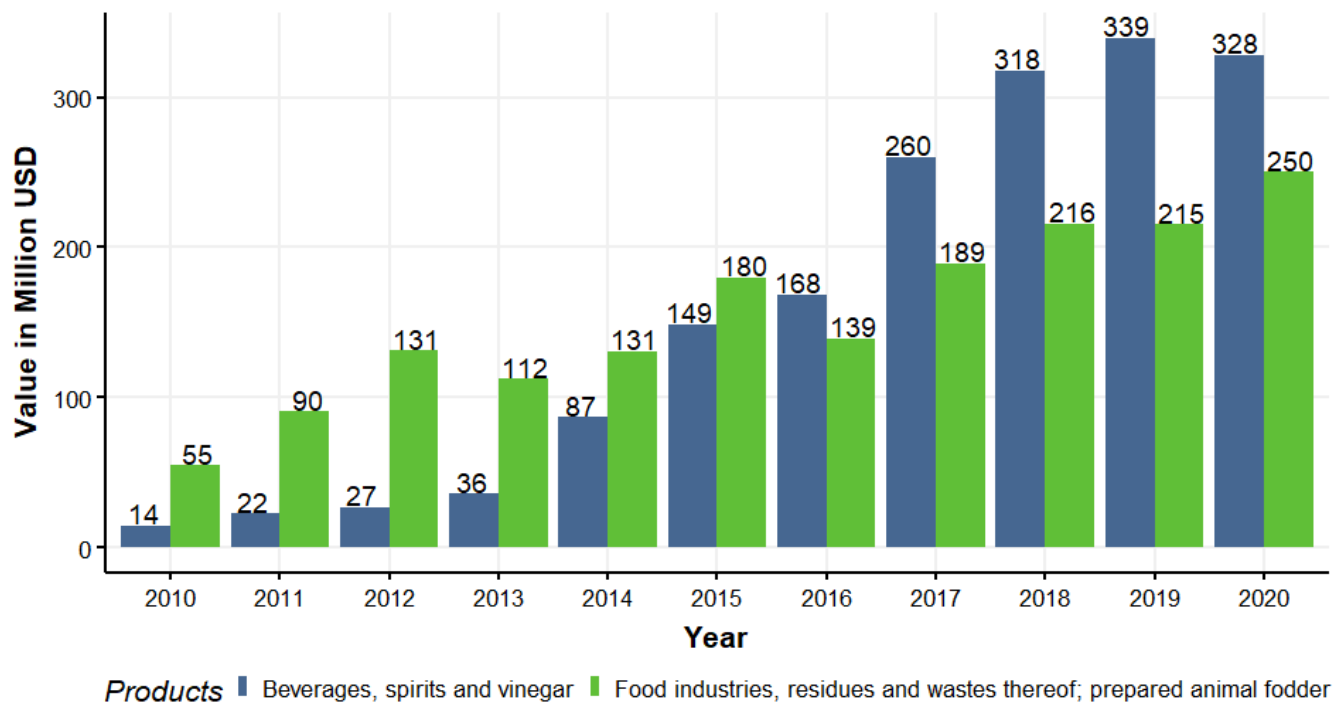


Figure 3: Imports of Food and beverage between 2010-2020

Source: Author's illustration based on data collected from <https://www.aseanstats.org/>

2.4 Covid-19 and business opportunity and employment

Lim et al. (2021) conducted a Rapid Assessment of Emerging Needs for Workers and Skills in Times of COVID-19 Crisis by surveying about 445 firms. This assessment reported that food and beverage are among the top-5 sectors with business and employment potential. During the COVID 19 pandemic, the primary sector contributing to Cambodia's economy was affected by the economic and labour market downturn. In contrast, even during this period of downturn, and possibly during the recovery period in the future, some sectors still increase the business opportunities and demand for labour. Figure 4 shows that firms in the food and beverage sector are among the top-5 sectors that might have business opportunities during the Covid-19 pandemic. 14.5 percent of the firms surveyed in this sector were likely to identify the business opportunities. The top-3 business opportunity most frequently identified as being provided by COVID-19 related issues was expanding into e-markets/online platforms, distribution of goods, and production of healthcare-related products (Lim et al. 2021).

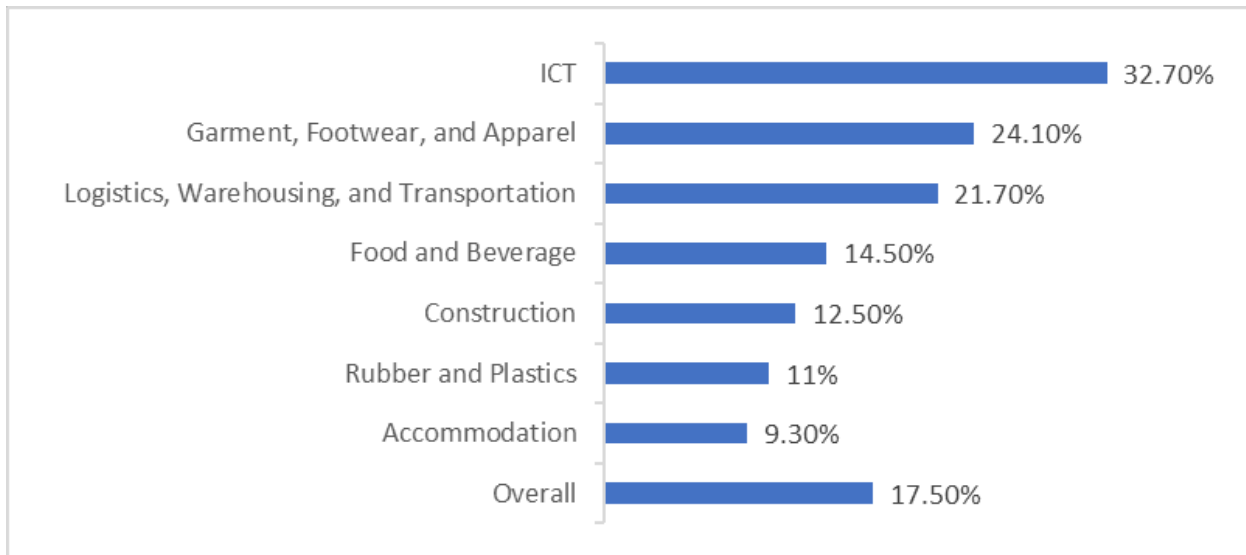


Figure 4: Share of establishments that might have business opportunities provided by COVID-19 related issues by sector

Source: Lim et al. (2021, 62), Figure 8.3: Share of establishments that might have business opportunities provided by COVID-19 related issues by sector

Figure 5 illustrates the share of establishments that reported needing to recruit more staff when the recovery begins and/or take advantage of business opportunities. The food and beverage firms are among the top-5 sectors that would recruit more staff, 61.3 percent of firms in this sector would need more staff.

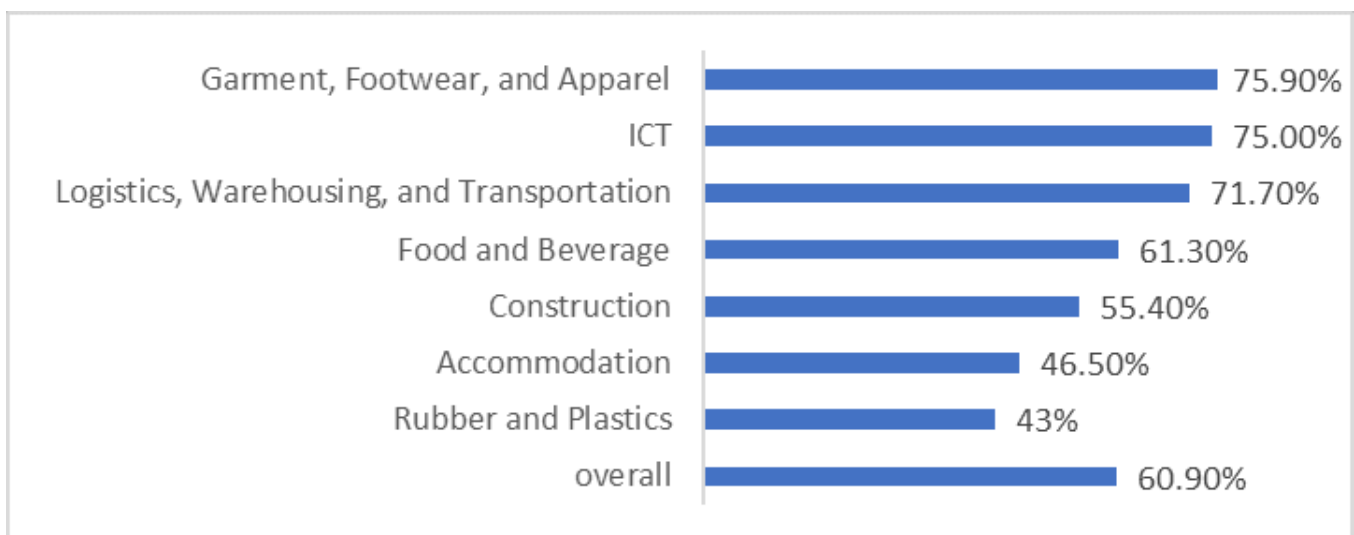


Figure 5: Share of establishments that will need to recruit more people when the recovery begins and/or to take advantage of business opportunities by sector

Source: Lim et al. (2021, 63), Figure 8.6: Share of establishments that will need to recruit more people when the recovery begins and/or to take advantage of business opportunities by sector

3 Research methods

We used mixed methods, which include both qualitative and quantitative analysis. We conducted desk reviews, key informant interviews (KII) with TVET institute and graduates and workers, and a food-processing micro, small and medium enterprises (MSMEs) interview. To achieve the objectives, we focus on both the demand and supply sides of the labour market.

3.1 Desk review

Desk review provides a better understanding of the project, the contextual background and the study areas. We review the project documents (including the log frame) and discuss them with VSO's staff during this step. We also check relevant reports, articles, databases published by other organisations or governmental agencies.

3.2 Key informant interview (KII)

Ninety-seven key informant interviews (KII) were conducted with relevant stakeholders, including key TVET institutes, TVET graduates and workers, and Micro, Small, and Medium Enterprises (MSMEs) in the study areas. We conducted KIIs with seven TVET institutes, 33 workers, and 13 TVET graduates located in the study areas. In addition, we also conducted nine in-depth consultations with other stakeholders, including relevant local business associations, NGO specialists, and government officials from the General Department of TVET, the Ministry of Labour and Vocational Training (MLVT), the national employment agency (NEA).

We developed guided questions and semi-structured questionnaires to explore the study's objective's key variables. The key points of the interview include the potential people labour opportunities, the potential opportunities for starting up a micro and small business, the demand for technical and soft skills, the nature of employment, the barriers to peoples' labour and income generation, Factors impacting demand and supply in the labour market, Strategic options for improving the demand for labour.

The interviews were recorded as audio files for transcribing, or interview notes were created directly during the interviews. Then transcripts and interview notes were used in Nvivo software to perform theme coding and text analysis, word frequencies.

3.3 Food-processing MSME interview

This tool aims to understand the private sector's view of the labour market – the potential employers. This tool focus on the qualitative answer of the respondents rather than the quantitative ones. This interview aims to scrutinise aspects related to the demand for occupations in this subsector, technical and soft skills required, barriers to peoples' labour and income generation, nature of employment, determining factor of labour demand, strategic options for improving demand. The tool will also collect information on skills in demand by potential employers.

3.3.1 Sample

We interviewed both the formal and informal food processing MSMEs. The sampling frame of the formal MSMEs was collected from the business registration website of the Ministry of Commerce. We identified 61 food processing registered MSMEs in the three provinces. Unfortunately, we could manage to interview only ten of them due to the lack of correct contact information and low response rates from the MSMEs. The informal one was identified and compiled by the VSO's provincial coordinators in each province. Table 3 shows the number of interviewed MSMEs in each province, as well as the TVET institutes, workers, trainees and experts.

3.3.2 Questionnaires

Semi-structure questionnaire was developed to capture all the aspects mentioned earlier. We designed the questionnaire, and printed copies of questionnaires were used to collect the business interview data. The questionnaires include both open-ended questions and multiple-choice questions. Multiple-choice questions will enable us to employ descriptive statistics to explain the firm's characteristics, prevalent current occupations in employment and demand, employee salaries, skills gaps, and shortage. At the same time, the answer to the open-ended question will help us get in-depth information about the aspects mentioned earlier. We used the Kobo-toolbox form to do data entry.

3.4 Data collection methods

Due to lockdown and restrictions in travelling between provinces and Phnom Penh, the only possible method to conduct the KII is via virtual meeting and phone. We employed five enumerators to collect the data. The enumerators were trained to perform the interview and use the questionnaires. Interview piloting was carried out with a few MSMEs to refine the questionnaire before the actual business interview.

Table 3: List of interviewed respondents

Respondents	Battambang	Kampong Chhnang	Kampong Thom	Total number
TVET institute	5	1	1	7
Laid-off Worker	10	8	0	18
Migrant worker	10	0	5	15
Graduated trainee	10	3	0	13
Formal MSME	10	6	1	17
Informal MSME	10	5	3	18
Other stakeholders	5	2	2	9
Total	<u>60</u>	<u>25</u>	<u>12</u>	<u>97</u>

3.5 Research scope

For the purpose of this LMA, we define the food processing subsector based on the International of Standard Industrial Classification of All Economic Activities (ISIC), Rev.4 (United Nations 2008), showing Table 4.

Table 4: Manufacture of food products and beverages

ISIC code	Description
10	Manufacture of food products
101	Processing and preserving of meat
102	Processing and preserving of fish, crustaceans and molluscs
103	Processing and preserving of fruit and vegetables
104	Manufacture of vegetable and animal oils and fats
105	Manufacture of dairy products
106	Manufacture of grain mill products, starches and starch products
108	Manufacture of prepared animal feeds
11	Manufacture of beverages
110	Manufacture of beverages

1101	Distilling, rectifying and blending of spirits
1102	Manufacture of wines
1103	Manufacture of malt liquors and malt
1104	Manufacture of soft drinks; production of mineral waters and other bottled waters

Source: United Nations (2008)

This LMA focuses on the low and unskilled workers, mainly skilled agricultural, forestry and fisher workers, craft and related trades worker, plant and machine operators and assemblers, and other elementary occupations as classified by the International Standard Classification of Occupation (ISCO-8) shown in Table 5 below.

Table 5 Skill Level: Mapping of ISCO-08 major groups to skill levels

ISCO-08 major groups	Skill levels	Skill label	ISCED-97 groups
1. Managers	SL3 + SL4	High and medium	6. Second stage of tertiary education (leading to advanced research qualification)
2. Professionals	SL4	High	5a. First stage of tertiary education, 1 degree (Medium duration) 5b. First stage of tertiary education (Short or medium duration)
3. Technicians and Associate professionals	SL3	Medium	5b. First stage of tertiary education (Short or medium duration)
4. Clerical Support Workers	SL2	Low	4. Post-secondary, non-tertiary 3. Upper secondary level of education 2. Lower secondary level of education
5. Service and Sales Works			
6. Skilled Agricultural, Forestry and Fishery Workers			
7. Craft and Related Trades Worker			
8. Plant and Machine Operators and Assemblers	SL1	Unskilled	1. Primary level of education
9. Elementary Occupations (e.g., office cleaners, freight handlers, garden labourers and kitchen assistants)			

Source: ILO (2012)

4 Results

4.1 Nature of employment

This section presents the nature of employment of the food-processing employees in MSMEs, especially the low- and unskilled workers. Table 6 displays the structure of the food-processing employees in interviewed MSMEs. On average, the unregistered MSMEs had three food-processing employees, while the registered ones had 17. Most food-processing employees in unregistered MSMEs were unskilled female workers accounted for 48.9 percent of the total employees, and low-skilled women represented 23.4 percent on average. Unregistered MSMEs did not employ medium and high skilled workers or managers. Most employees in the registered MSMEs were unskilled women (45.8 percent) and men (21.3 percent). The registered MSMEs hired many managers, making up 29.2 of the total employees.

Table 6 Structure of Food-processing employees in MSMEs

Employee	Unregistered MSMEs		Registered MSMEs	
	Average number	Proportion of total (%)	Average number	Proportion of total (%)
Female SL1	1	28	8	53
Male SL1	0	9	4	12
SL1-total	1	37	11	65
Female SL2	1	11	1	2
Male SL2	0	5	0	2
SL2 total	1	16	1	4
Female SL3	0	0	0	0
Male SL3	0	0	1	6
Total SL3	0	0	1	6
Female SL4	0	0	2	8
Male SL4	0	0	2	10
Total SL4	0	0	4	18

Total average employee	2	17
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Source: MSMEs interview conducted by the consultant

Table 7 shows the Salary of Food-processing employees of the interviewed MSMEs. Most unskilled workers had a salary range of 100-300 USD per month, like the low-skilled workers. The salary range of medium-skilled workers are 301-500 USD, and the high skill workers have a wide range of salary, from 100 to 1000.

Table 7: Average salary range of Food-processing employees of the interviewed MSMEs

Worker category	MSME formality	Salary range
SL1's salary	Unregistered	Less than 100
	Registered	100-300
SL2's salary	Unregistered	100-300
	Registered	100-300
SL3's salary	Registered	301-500
SL4's salary	Registered	301-500

Source: MSMEs interview conducted by the consultant

4.2 Labour demand by MSMEs

4.2.1 Current demand

We could hardly find any current demand for low- and unskilled workers because our interviews were conducted during the Covid-19 outbreak. All respondents in the three provinces were likely to have a consistent perception of the lack of demand during this period. They reported that most factories have laid off their workers, let alone the need for workers.

4.2.2 Future demand

The interviewed MSMEs are more likely to be optimistic about the labour market within the next 1-2 years when the Covid-19 pandemic subsides. Sixty-one point eight percent of registered MSMEs and 25 percent of the unregistered reported that they might need more workers within the next 1-2 years.

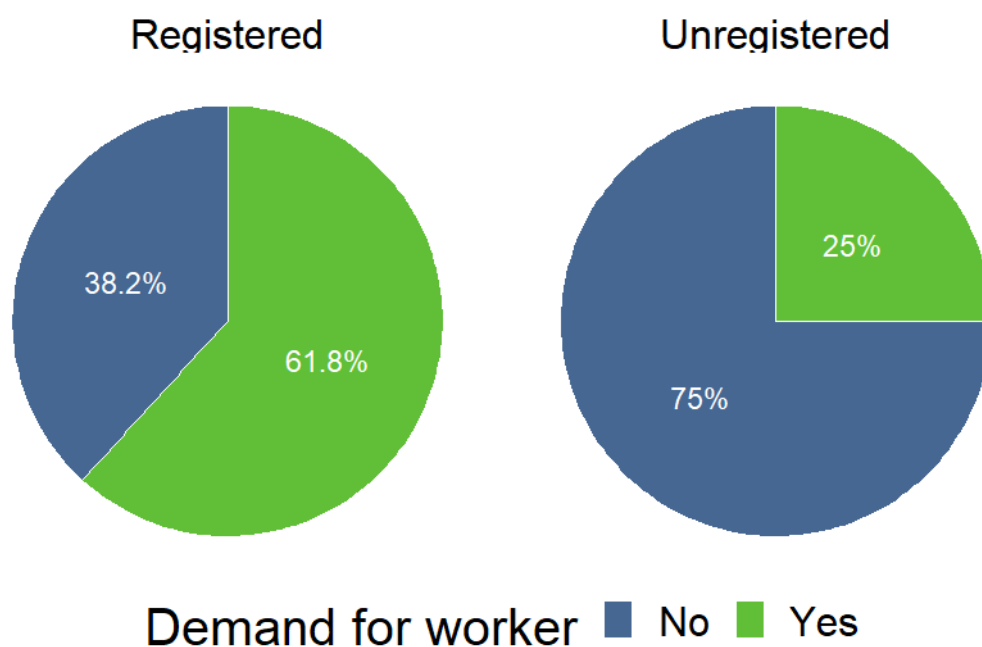


Figure 6: Future demand for Low- and Unskilled Workers
Source: MSMEs interview conducted by the consultant

Figure 7 shows the future demand for low-skilled workers, indicating that 60 percent of the registered MSMEs in Battambang reported that they would require more low-skilled workers. All of the registered MSMEs in Kampong Chhnang would need more low-skilled workers. Unfortunately, none of the interviewed unregistered MSMEs in Kampong Chhnang might require more low skilled workers, and this may be due to the small number of the interviewed MSMEs in Kampong Chhnang. Twenty percent of unregistered ones said so. About 83 percent of the registered MSMEs and 40 percent of the unregistered MSMEs in Kampong Thom would need more low skilled workers.

Figure 8 shows the future demand for unskilled workers, indicating that 50 percent of the registered MSMEs and 20 percent of unregistered MSMEs in Battambang stated that they would require more unskilled workers. About 67 percent of registered MSMEs and 60 percent of the unregistered ones in Kampong Thom might need more unskilled workers. Nonetheless, none of the interviewed MSMEs in Kampong Chhnang might need more unskilled workers; the reason can be that the number of the interviewed MSMEs in Kampong Chhnang is minimal.

The occupations required by both the registered and unregistered MSMEs might be operators, packagers, quality controllers, and mechanics. Operators and packagers are the most wanted occupations for low and unskilled workers.

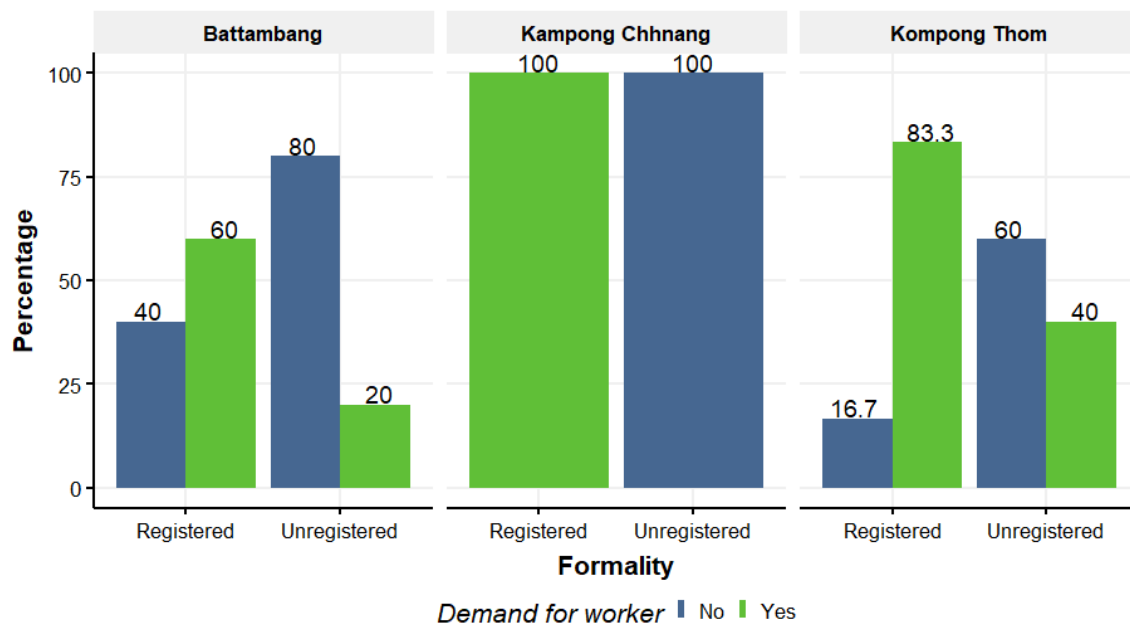


Figure 7: Future demand for Low Skilled Workers
Source: MSMEs interview conducted by the consultant

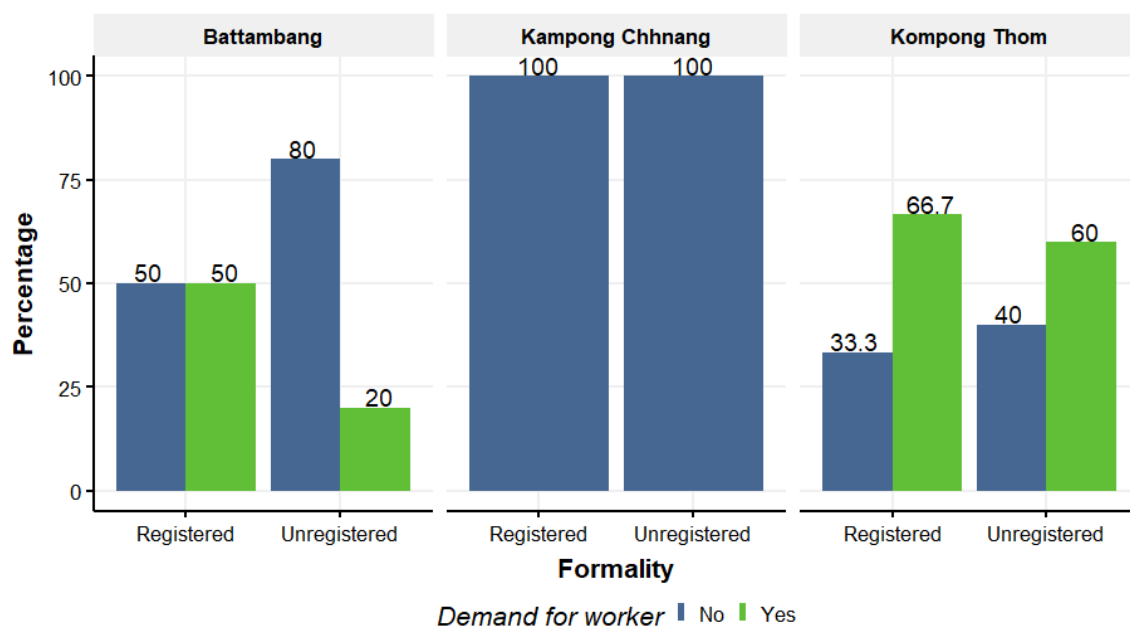


Figure 8: Future demand for Unskilled Worker
Source: MSMEs interview conducted by the consultant

4.3 Potential opportunities for returning migrant and laid-off workers

4.3.1 Employment opportunities

We conducted text analysis using word frequency of the answers to the question-- “What are the protentional occupations for returning migrant and laid-off workers?”—which was asked to the MSMEs, Workers, TVET institutes, and the experts. Figure 8 shows the text analysis results, suggesting that the potential occupations for returning migrant and laid-off workers are construction workers, agricultural workers, factories workers, food processing workers, vendors, metalwork, electrician mechanic, delivering workers. Construction workers, by far, are the most suggested occupations. The reported reasons are that many migrant workers might work as construction workers in Thailand, and there may be many construction sites in target provinces. Work in the agriculture sector is the second most suggested occupation; the reason is that most workers are from agricultural households. They may have agricultural land that they can work on immediately without much-required capital and skills.

Although females can also work in this sector, employment in construction may be more potential for male workers than for females. The reason can be that construction work requires laborious work. Employment in agriculture are potential equally for both female and male workers

Jobs as low- and unskilled workers in food processing factories can also be potential but less than occupations in construction, agriculture and factories. Employment in the factories is more potential for female workers than males because employers are more likely to recruit female workers. They think those female workers work more productively than males.

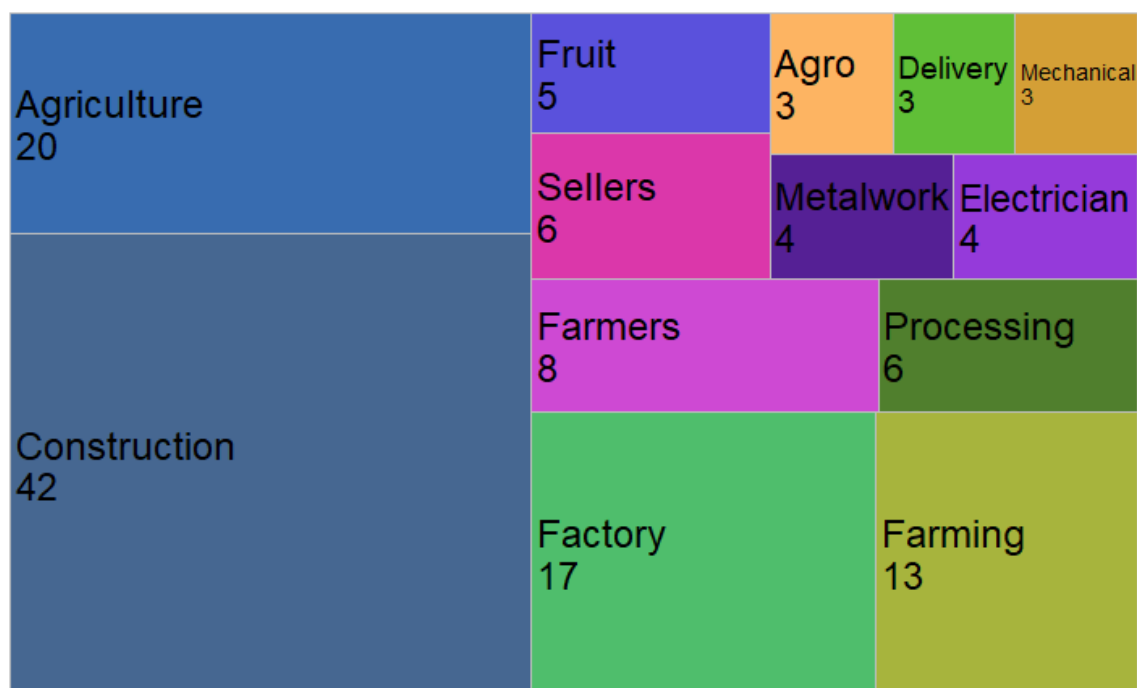


Figure 4 Potential occupations for returned migrant worker/ laid-off workers
Source: Consultant's interview with MSMEs, Workers, TVET institutes, and experts.
Note: only the words with more than two counts are kept.

4.3.2 Opportunity for self-employment/Micro and small businesses

We conducted text analysis using word frequency of the answers to the question of the potential business opportunities for returning migrants and the laid-off workers asked to the MSMEs, Workers, TVET institutes, and experts. Figure 9 shows the results of the text analysis. It suggests the potential self-employment or business opportunities for returning migrant and laid-off workers are food processing, agriculture (cultivation and livestock, fish and frog raising), small grocery stores, motorcycle repairers, vendors, and beauticians selling construction materials.

Food processing such as banana chips, soy milk, cucumber pickle, and the like is more likely to be viable self-employment and micro-business opportunities than employment opportunities. It would require less training and capital; the worker can easily access the agricultural produce as the primary input materials cultivated by their household or others in their communities.. This processed food can be sold in the local communities or the provinces.

Traditionally, women are likely to perform food processing activities than men. It may relate to the traditional labour division in Cambodian households, in which women have the duties to cook food for their families. However, food processing activities can be equally potential for both women and men.



Figure 9 Potential self-employment or business

Source: Consultant's interview with MSMEs, Workers, TVET institutes, and experts.

Note: only the words with more than two counts are kept.

4.4 Skills Demand

4.4.1 Soft skills

Low-skilled workers' most required soft skills include commitment and loyalty, followed by numeracy, literacy, communication, and technical skills. It should be noted that technical skills are not the most wanted skills for low-skilled workers compared to other soft skills (Figure 10).

Unskilled workers’ most required soft skills were loyalty, commitment, regular attendance, and communication (Figure 11). Other necessary soft skills for low-and unskilled workers include following instruction and 5S¹ standards and having high responsibility.

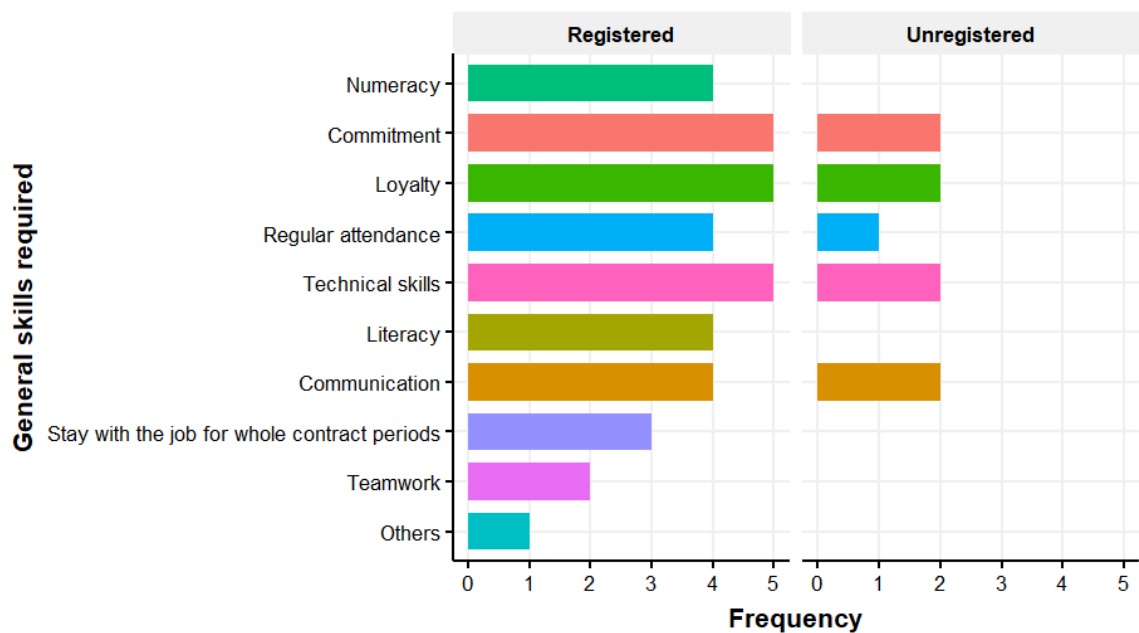


Figure 10: General skills required for low-skilled workers
Source: MSMEs interview conducted by the consultant

¹ The 5S workplace organizational and housekeeping methodology refers to five steps – sort, set in order, shine, standardize and sustain. The 5S are believe to improve the productivity greatly.

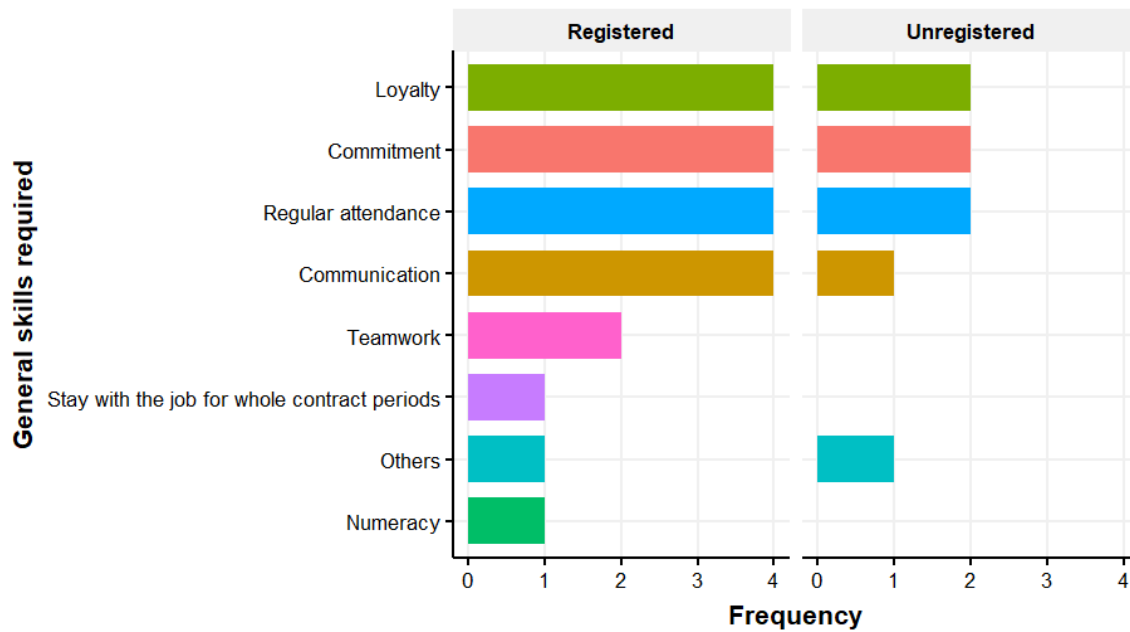


Figure 11: General skills required for unskilled workers
Source: MSMEs interview conducted by the consultant

4.4.2 Technical skill required:

The MSMEs did not mention specific technical skills of food processing required for low- and unskilled workers. However, they said they needed other skills such as hygiene in production, 5S, and mechanics. It may imply that MSMEs did not require these workers to have technical food processing skills. Still, they need them to have the soft skills mentioned above and follow the supervisor's instructions or production procedures or standards. These workers are more likely to perform routine works such as basic machine operation (turn-on, turn-off, and monitoring), packaging, mixing ingredients, quality control, and so on. These skills can be easily trained via on-the-job training within a few weeks in the factories. Although the MSMEs did not require the low and unskilled workers to have technical skills. They might need medium and high skilled workers to have them. For example, Ven and Veung (2020) found that the interviewed food processing firms encountered significant difficulties finding technicians, implying the existence of a technical labour shortage in this sector.

Nonetheless, those who would be self-employed or start their micro or small businesses related to food-processing need food processing skills, plus digital, entrepreneurship, and business operation skills.

4.4.3 Digital skills

The interviews with key stakeholders reveal that digital skills are essential for everyone, including the low- and unskilled workers, as our society and economy have become more digitalised. Moreover, at this period of the Covid-19 pandemic, digital skills have become even more critical. Via social media and messaging app and virtual meetings, the pandemic has spiked the growth of online businesses, marketing and advertisements, communications, deliveries in Cambodia. For example, some respondents said:

Moreover, in IR 4.0, everybody should know the digital foundation. We should know how to communicate online. Overall, we should have soft skills, entrepreneurship and a digital foundation.

We see a lot of online businesses. So, ICT is significant. Moreover, sale skill is necessary as well. Workers are also required to have digital skills to promote their products. People who only finish grade 6 can learn ICT skills at the usage level but not at the innovating ICT level. And nowadays all youths seem to know to use ICT.

However, not everyone thought that digital skills were suitable for low- and unskilled workers. One of the key informants stated that:

I think they[workers] will have difficulty using technology because they have low skills and face difficulty using smartphones. For example, returning migrant workers don't even have smartphones. I don't think they can catch up with fast-evolving technology; even I can't. Moreover, they lack devices as well.

It might be true that low- and unskilled workers may not be able to adopt the entire digital skills; even the medium and high skilled workers may also find it challenging to do so. Nonetheless, learning basic digital skills or digital literacy--as shown in Figure 12-- may not be very difficult for low- and unskilled workers.

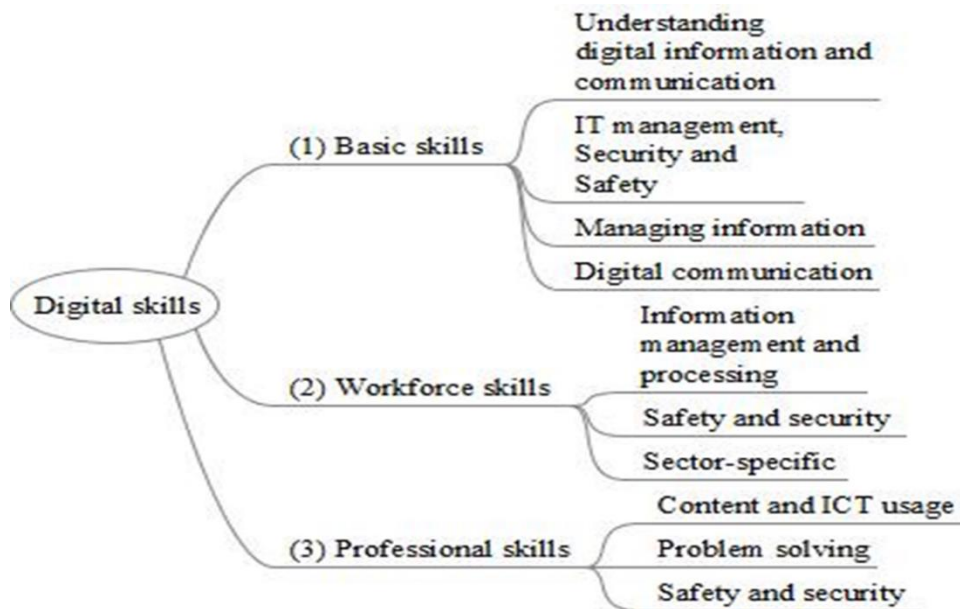


Figure 12 Digital skills classification
Source: ECORYS UK (2016)

4.4.4 Entrepreneurship

The key stakeholders also raised entrepreneurship and business operation skills as vital for low-and unskilled workers for starting up and running micro and small businesses. The word entrepreneurship was mentioned 16 times by the respondents. Entrepreneurship skills were identified as complementary to the technical skills, so the workers can know how to manage their finance, staff, time or plans when running their own business. Some of the respondents quoted that:

They [workers] should possess soft skills and entrepreneurship because they must know how to manage their finance, staff, time or plans when running their own business. So far, some people in the business don't have enough knowledge yet. They think they have received profits when their products are sold, but it's not like that.

If people already have hard skills, they should possess soft skills and entrepreneurship because they must know how to manage their finance, stuff, time or plans when running their own business.

4.5 Barriers to peoples' labour and income generation

4.5.1 Barriers to employment

We conducted a word frequency analysis of the interviews with MSMEs, Workers, TVET institutes, and experts to identify the barriers to employment of returning migrant and laid-off workers. Figure 13 shows the analysis result, indicating that the significant barriers to employment of these workers were the lack of skills, education, knowledge, experience, job opportunity, covid-19, old age, information, labour demand (market), commitment, salary (too low for workers, too high for employers), among other things.

Lack of skills, education, knowledge, experience, is the barriers to employment most cited by all respondents. Most workers had low education and general knowledge; they did not have the skills and experiences required by the employers. For example, one of the interviewed migrant workers said that:

From my experience, I think there are many challenges to getting a job because I have low education and don't have the skills required by society's needs. It's hard to suggest a solution because Cambodian people still earn low salaries. So, they migrated.

Similarly, an interviewed expert asserted that:

They don't have skills and sufficient general knowledge, and they are old. They will face more challenges. More significantly, it depends on themselves whether they have a high willingness or not.

Different views about salary range may arise because there is no minimum wage for workers in sectors other than the textile, garment, and footwear sectors.

One more important barrier is **poor access to information**. The workers said they did not know where to find a job, and the employers said they did not know where to find workers.

One of the MSMEs said that:

The challenges for workers to get a job are education, skills, and commitment. If they have no plan for the future and their job, they won't be brave enough to get that opportunity. No one is better without patient and commit their goal.

4.5.2 Barriers to doing business

We conducted a word frequency analysis of the interviews with MSMEs, Workers, TVET institutes, and experts to identify the barriers to starting up or running businesses of returning migrant and laid-off workers. Figure 14 displays the analysis result, indicating the hindrance to starting or running businesses are lack of capital, market information, knowledge, skills, understanding, experience, commitment, local demand, among other things.

Lack of capital is the most cited barrier to starting and running a business. Of course, when starting up a business, even a tiny one, money is needed to invest in buying tools, equipment, and input materials for production. This can be challenging for laid-off and returned migrant workers who have just lost their jobs.

Lack of market information and local demand is the second most cited hindrance to starting a business. Most workers answered that they did not understand the market demand, especially the returned migrant workers. They have a poor understanding of the local market and economy because they have been migrated abroad for a long time. Lack of local demand is also a problem for MSMEs, making the selling prices of locally produced products very low.

Like the barriers to employment, **the lack of knowledge, skills, understanding, experience, and commitment** are significant obstacles to starting and running a business. An entrepreneur must be equipped with appropriate technical, entrepreneurship, business operation skills and knowledge to successfully create and run a business. An entrepreneur must also be committed to achieving the long-

term business plan, as some companies may take a long time to become prosperous. For example, one of the workers said that:

The challenges for starting up micro and small businesses are lack of capital, skills, experience, market understanding, and capability. We should study more about market and demand, type of business and skill, and build soft skill and leadership.



Figure 14: Barriers to starting or running businesses

Source: Consultant's interview with MSMEs, Workers, TVET institutes, and experts

4.6 Factors impacting demand and supply in the labour market

Most of the barriers to employment and business opportunity for the returning migrant and laid-off workers are also the factors impacting the demand and supply of the labour market. Those factors that influence the labour demand include the performance of the MSMEs and the large enterprises, while the

factor impacting labour supply can consist of the lack of trainees’ enrolment to TVET institutes, perception about TVET, early dropout of school, and quality of TVET graduates.

4.6.1 Factors impacting the performance of MSMEs

Figure 15 Challenges faced by the interviewed MSMEs. The top-5 reported challenges faced by the interviewed MSMEs were Covid-19, lack of domestic demand, poor access to technology, poor access to business and market information, and lack of skilled labours. Since these factors affect the MSMEs’ performance, they also impact the labour demand. For instance, to due Covid-19, most SMEs have suspended their operation and laid off many workers.

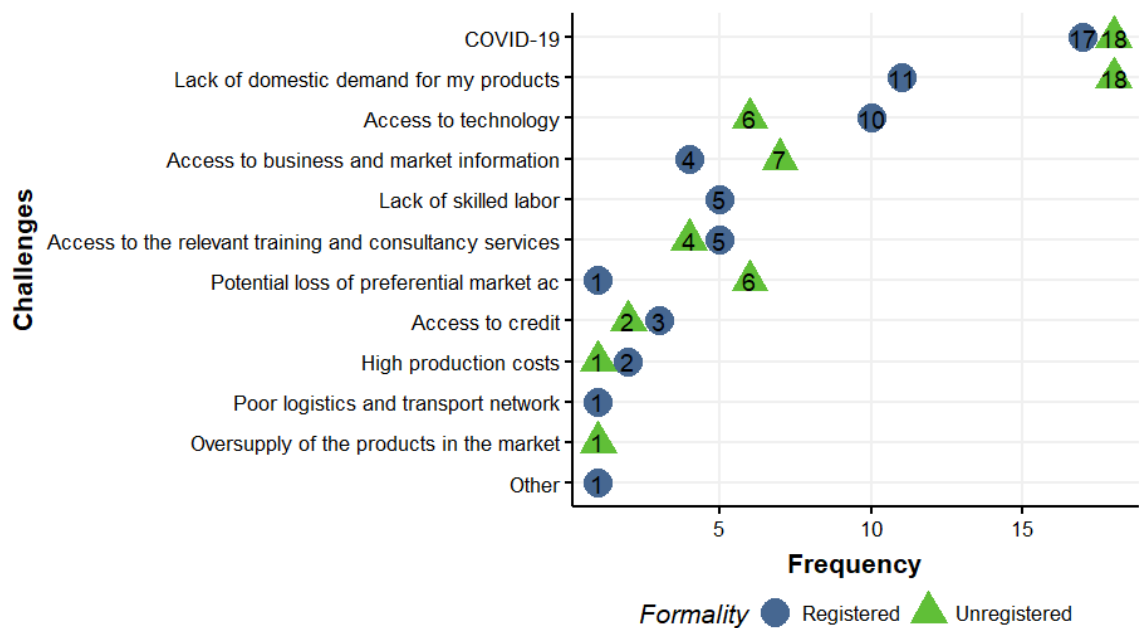


Figure 15: Challenges faced by the interviewed MSMEs
Source: Interview with MSMEs conducted by the consultant

4.6.2 Factor impacting the supply of labour

The interview with the TVET institutes pointed to the lack of trainee enrolment to TVET institutes in the provinces, especially the Battambang provinces. There were many TVET institutes, but there were too few enrolments. Youths were more likely to drop out of school early to get a low-skilled job in the country or abroad to earn some income to support their families. This led the youth to fall into the trap of low-

skilled, low-paid jobs with little opportunity to advance careers. This trend is quite prevalent in remote areas.

5 Conclusion

The interviews with all stakeholders suggest that there was no current demand for low- and unskilled workers due to the Covid-19 outbreak and the government's containment measures that affected the MSMEs operations. Fortunately, within the next 1-2 years, when the Covid-19 pandemic subsides, the interviewed MSMEs are more likely to be optimistic about the labour market. The low and unskilled occupations - that those MSMEs would require - would be operators, packagers, quality controllers, mechanics. Operators and packagers would be the most wanted occupations for low and unskilled workers.

The interview results indicate that the potential occupations for returned migrant and laid-off workers were construction, agricultural, factories, food processing, and delivering workers, as well as vendors, metalwork, electrician and mechanic. Construction worker, by far, is the most cited occupation, while the farmer is the second most suggested occupation. Jobs as low- and unskilled workers in food processing factories can also be possible but not less recommended than occupations in construction, agriculture and factories.

It also pointed out that the potential self-employment or business opportunities for returning migrant and laid-off workers are food processing, agriculture (cultivation and livestock, fish and frog raising), small grocery stores, motorcycle repairers, vendors, and beauticians. Food processing such as banana chips, soy milk, cucumber pickle, and the like is more likely to be viable self-employment and micro-business opportunities than an occupation. This processed food can be sold in the local community or the province. It would require less training and capital; Also, they can easily access the crops as the primary input materials cultivated by their household or others in their communities.

Employers require low-skilled workers to have soft skills include commitment and loyalty, followed by numeracy, literacy, and communication. It should be noted that technical skills are not the most wanted skills for low-skilled workers. Unskilled workers' most required soft skills were loyalty, commitment, regular attendance, and communication. Other necessary soft skills for low-and unskilled workers include following company instructions and standards and having high responsibility.

This LMA may imply that MSMEs did not require low and unskilled workers to have technical food processing skills. Still, they need them to have the soft skills mentioned above. However, the firms may highly demand technical food processing skills for medium and high skilled employees, which are in shortage in the labour market based on a previous study (Ven and Veung 2020). Also, those who would be self-employed or start their micro or small businesses related to food-processing need food processing skills, plus digital, entrepreneurship, and business operation skills.

The interview with experts reveals that digital skills were essential for everyone, including the low- and unskilled workers, as our society and economy have become more digitalised. Moreover, at this period of the Covid-19 pandemic, digital skills have become even more critical. The pandemic speeds up the growth of online businesses, marketing and advertisements, communications, deliveries via social media and messaging app, and virtual meetings. The key stakeholders also elevated entrepreneurship and business operation skills as vital for low-and unskilled workers for starting up and running micro and small businesses.

The significant barriers to employment of these workers were the lack of skills, education, knowledge, job, experience, information, and commitment, as well as covid-19, low labour demand (market), old age, salary (too low for workers, too high for employers), among other things. Lack of skills, education, knowledge, and experience are the most cited barriers to employment. The analysis result indicates the crucial hindrance to starting, or running businesses are lack of capital, market information, knowledge, skills, understanding, experience, commitment, local demand, among other things.

6 Recommendations

6.1 Supporting interventions for returned and migrant workers and laid-off workers

6.1.1 Providing appropriate upskilling and reskilling program

The LMA discovered that the lack of skills, education, knowledge and experience is the most cited barrier to employment and business opportunity. Based on the LMA, technical skills are not much required by MSMEs for unskilled and low-skilled workers, but they may need the technical skills for medium-skilled workers.

Therefore, upskilling or reskilling can be a beneficial intervention for returned migrant and laid-off workers. The upskilling and reskilling programs should include technical, soft, digital, and entrepreneurship skills. The primary purpose of the training program should be to upgrade the workers'

technical skills from low- and unskilled levels to medium level with formal qualifications or certificates based on the Cambodia Qualification Framework (CQF)², not just conversational skills inherited from a family member or neighbour. The technical skills provided should meet the market demand and the workers' backgrounds and preferences. Food processing can be a potential training program. This program in each province should focus on agricultural products with more comparative advantage than other provinces based on production capacity and market demand. Finally, the programs should lead to two separate qualifications or certificates: medium-skilled workers and entrepreneurs.

The training program should include basic digital skills or digital literacy, especially communication, online sale, and fintech. Also, the program should entail fundamental entrepreneurship and business operation skills, such as understanding market demand, financial management, production, and sale and marketing. Soft skills should also be taught, including commitment, loyalty, numeracy, literacy, communication, responsibility, regular attendance, and obedience to the workplace's rules and standards.

6.1.2 Certifying skills for experienced workers

Many returned migrant workers may have gained valuable skills from their experience working abroad. However, their skills may not be formally recognised. So, the Ministry of Labour and Vocational Training (MLVT) and SwissContact has designed a mechanism called the “Recognition of Prior Learning (RPL)”³ for workers to take the ability tests to get formal certificates from the ministry. This plan was set in 2017, but the implementation is not fully operational yet, according to an interview with a senior MLVT official. RPL should be promoted to full operation so that returned migrant workers with skills can be tested and get certificates.

² Cambodian Qualifications Framework (CQF) is an instrument for development and classification qualification based on a set of criteria that is agreed nationally for specified levels of learning outcome achieved. It is a policy and strategy in outcomes, academic levels and quality of qualification, and is widely recognized as such as in the international academic and professional communities. CQF is intended to ensure equivalency comparison within the Kingdom in the standards of national and regional qualifications. The purposes the CQF are: 1. To provide nationally consistent recognition of outcome achieve in each qualifications of education and training. 2. To help with developing flexible pathways which assist people to move more easily between the education and training.

³ According to the Cambodian Qualification Framework (CQF), Recognition of Prior Learning (RPL) is a mechanism to recognize and validate competencies obtained outside the formal education and training system for purposes of certification. The Skills Development Programme, a project of the Swiss Agency for Development and Cooperation (SDC) and implemented by Swisscontact in a consortium with INBAS, has supported the Ministry of Labour and Vocational Training (MLVT) and the Ministry of Tourism (MoT) to implement pilot assessments of 697 employees including 267 women using the process of RPL since 2016.

6.1.3 Providing access to financial supports and credits

Most of the returned migrant and laid-off workers were their family's breadwinners. The loss of jobs and incomes would cause hardship for their families. So, they would need financial support. To mitigate the effects of this pandemic, the government has subsidised 20 percent of the monthly minimum wage to the laid-off workers in the hospitality sector, a monthly allowance of US\$70 to the garment workers who lose their jobs, and one-time post-lockdown emergency cash paid in June 2021. Moreover, the government has initiated the "Cash Assistance Program for Poor and Vulnerable Families during the Fight Against COVID-19", which amounted to US\$ 125 million, which was launched on 24 June 2020 (Kimmarita 2020). However, the workers may have difficulty accessing these government supports. Therefore, assistance should be provided to the workers to access these supports.

As reported by many experts, businesses, and TVET institutes, most workers were more likely to find low paid jobs that required no skills rather than invest in time, effort, money to develop their skills and qualifications. The project should be a stipend or scholarship provided to potential trainees to make this project successful. If they do not have anything to support living expenses and their family, they will not persistently join the program. After the training, credit without interest or with low interest should be provided to those who intend to start a micro-business and have a sound business plan and commitment.

6.1.4 Creating a supporting network to share information

Lack of information is a significant constraint to getting a job and business opportunity. So, there should be a support network or group to share information about the job and business opportunity, market information, and experiences. MSMEs, employers, TVET institutes, and provincial job centres should also be included in this group so that they can post job announcements and training opportunities.

6.2 Supporting intervention for TVET institutes

The interview with TVET institute shows that TVET institutes in the target provinces face the challenges below in providing training programs related to food processing: limited trainer's capacity, lack of equipment, tools, material, curriculum, lack of financial support for trainers, need to cooperation with the private sector, low trainee's enrollment rate. TVET institutes need supports regarding these challenges. Moreover, according to an interviewed MLVT's senior official, Organisations and institutions should look for common ground. If the organisation wants to promote food processing, but the schools don't have trainers or the target people don't like to learn that skill, we should consider more. It's not that we should

implement every project. If there are enough criteria, it'll be good. But make sure to find sustainability for the projects.

6.3 TVET institutes and private sector partnership

Some suggestions to improve cooperation between private and TVET institutes in developing low-skill of the food-processing sector are quality and skills are the main factor of processing. Collaboration should respond to job opportunities in society, stopping activity and mindsets and cooperating to find the best solution such as partial training between private and institution. The private company should provide an opportunity for the trainee to work and train, which means do not wait until the lack of labour- and institutes don't just need only transfer trainee to work.

6.4 Strategic options for improving the demand for labour

Based on the interview, this study would like to put forward the following suggestion to enhance the labour demand:

- **Raising the awareness about the return of education and technical and vocational training.**
- **Promoting “One Village One Product” (OVOP)** should be revitalised. We need to follow the province's comparative advantage products. Moreover, each province should have different processing products. We should classify food processing products based on what their areas are good at. For example, Battambang is famous for its oranges, so we should promote processed oranges such as orange juice as Battambang's OVOP.
- **There should be a rigorous study to identify the supply chains of food processed products** and retail locations where these products are distributed for sale. From the author's observations, the potential retailing sites these products can be distributed for sale are local traditional markets, minimarts located in gas stations, and roadside stations⁴ and street vendors along the national roads. If these products meet the required standard, they can also supply hotels, restaurants, and supermarkets across the countries.
- **Renovating roadside stations, adopting the concept of Japan's “Michi no Eki”** or “roadside stations”, which are rest areas including shopping and community facilities. Since their inception in Japan in the early 1990s, they have evolved to meet the diversifying needs of tourists and residents (nippon.com 2019). Local farmers or producers formed cooperatives or producers'

⁴ Along the national roads in the three provinces, there are many places where the buses, taxi, and family vehicles have short stops to have meal, buying souvenirs, and rest during their travel.

groups and supply their products to the roadside stations. This can also be linked to the OVOP projects.

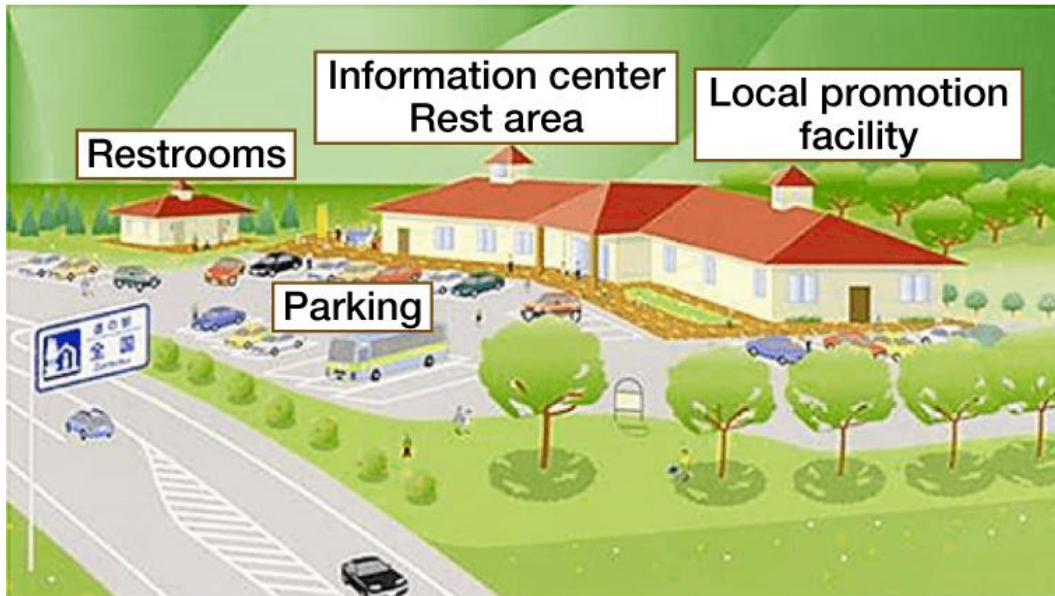


Figure 16: A model of Michi no Eki

Source: Created by Nippon.com based on the Japan's Ministry of land, Infrastructure, Transport and Tourism website.

(<https://www.nippon.com/en/japan-topics/g00645/roadside-rest-stops-japan%E2%80%99s-michi-no-eki-evolve-to-serve-as-community-hubs.html>)

- We should look at the scope for the food processing sector—we have 800,000 workers in the textile and garment, and footwear, and 10% have resigned and returning workers for Thailand. If they are all getting into the food processing sector, it will not be successful. But food processing is the community's job, which they can do to sustain their life and supply their local areas.
- **There should be intervention programs to continue promoting and supporting MSMEs** in this sector to recover after the Covid-19 pandemic, connecting to the international market, adopting new technology, getting credit, and improving ease of doing business. Also, we must encourage more investment in MSMEs for this sector to expand employment.
- **Conducting studies to identify potential food-processing products and export markets.** For instance, Cambodia has increased the efforts to seek bilateral and multilateral Free Trade Agreement in the region; thus, Cambodia has signed bilateral FTA with China and Korea, has started negotiating with India, and conducted a feasibility study with Eurasia. More importantly,

Cambodia signed the RCEP Agreement on 15 November 2020, during the 4th RCEP Summit. The RCEP agreement is an unusual mega-regional trading arrangement that comprises a diverse mix of developed, developing and least-developed economies of the region. Therefore, Cambodia should conduct studies to identify the potential food-processing products that Cambodia have comparative advantages and meet the FTA partners' demand.

- Along with studying the potential food-processing products, **we should also study the FTA partners' requirements such as Sanitary and Phytosanitary (SPS)⁵ and other non-tariff measures (NTM)⁶** for importing products into their countries. The results of these studies should be disseminated to and educate the farmers and producers of food-processing so that they can comply with the requirements.

⁵ Sanitary and phytosanitary (SPS) measures are quarantine and biosecurity measures which applied to protect human, animal or plant life or health from risks arising from the introduction, establishment and spread of pests and diseases and from risks arising from additives, toxins and contaminants in food and feed.

⁶ NTMs are policy measures other than ordinary customs tariffs that affect international trade in goods at the border by changing quantities traded, prices or both. NTMs include a wide range of instruments such as quotas, licences, technical barriers to trade (TBTs), sanitary and phytosanitary (SPS) measures, export restrictions, custom surcharges, financial measures and anti-dumping measures.

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